

Economics Test –3

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Q1. The Drought Prone Area Programme (DPAP) for providing employment to people in drought prone areas was started by the Government of India during the _____.

A. Fourth Five-Year Plan

B. Sixth Five-Year Plan

C. Third Five-Year Plan

D. Seventh Five-Year Plan

Solution: Fourth Five-Year Plan (1969 – 74): Objective – Growth with stability and progressive achievement of self-reliance. It was introduced under the Prime Ministership of Indira Gandhi. The government nationalized 14 major Indian Banks and the Green Revolution boosted agriculture. Implementation of Family Planning Programmes. The target growth rate was 5.7%, but the actual growth rate was 3.3%. Joseph Stalin was the first person to introduce a five year plan in the Soviet Union. India borrowed features of the Five-year plan from the USSR.

Q2. The measures of money supply, namely, M1, M2, M3 and M4, in this order, indicate:

A. decreasing order of earning capacity

B. increasing order of liquidity

C. decreasing order of liquidity

D. decreasing order of store of value

Solution: 1 2.(c) Decreasing order of liquidity. M1 and M2 are known as narrow money while M3 and M4 are known as broad money. These measures are in decreasing order of liquidity. M1 is the most liquid and easiest for transactions whereas M4 is the least liquid of all. M3 is the most commonly used measure of money supply.

Q3. _____ was the chairman of the planning commission when the first five year plan was formulated in India.

A. Dr Rajendra Prasad

B. Subhash Chandra Bose

C. Lal Bahadur Shastri

D. Jawaharlal Nehru

Solution: Jawaharlal Nehru. First Five Year Plan (1951– 56) – Focussed on agriculture, price stability, power and transport. It was based on the Harrod Domar Model. Planning Commission : It was an advisory body. Established – 1950. The Prime Minister of India was the ex-officio chairperson of it. First Deputy Chairman – Gulzari Lal Nanda (1953). The Five year plan was obtained from the USSR (The Union of Soviet Socialist Republics).

Q4. Non-Tax revenue is part of _____.

A. Revenue Expenditure

B. Revenue Receipts

C. Capital Expenditure

D. Capital Receipts

Solution: Revenue Receipts – Do not have a direct impact on the assets and liabilities. Example – Money earned through tax

(excise duty, income tax) and non-tax sources (dividend income, profits, interest receipts). Revenue Expenditure – Does not impact its assets or liabilities. Example – Salaries, interest payments, Pension. Capital expenditure – Create assets or to reduce liabilities. Example – construction of roads and hospitals, Loans to states, Repayment of its borrowings. Capital Receipts – Decrease in assets or an increase in liabilities. Example – Disinvestment, Borrowings or repayment of loans by states.

Q5. According to the law of demand, the consumer's demand for a good must be _____.

A. directly related to the supply of the good

B. inversely related to the price of the good

C. directly related to the price of the good

D. inversely related to the supply of the good

Solution: inversely related to the price of the good. The law of demand and supply given by Adam Smith. The law of supply says that when prices rise, companies see more profit potential and increase the supply of goods and services. The law of supply and demand is the theory that prices are determined by the relationship between supply and demand. Smith is most famous for his 1776 book, "The Wealth of Nations."

Q6. A _____ account is one which is maintained by an Indian Bank in the foreign countries usually in the currency of that country for the purpose of carrying out transactions there.

A. NOSTRO

B. VOSTRO

C. LIBOR

D. MIBOR

Solution: NOSTRO. VOSTRO: An account that domestic banks hold for foreign banks in the former's domestic currency. LIBOR : London Inter-Bank Offered Rate. It is a benchmark interest rate at which major global banks lend to one another in the international interbank market for short-term loans. MIBOR – Mumbai Interbank Offered Rate. It is the overnight lending offered rate for Indian commercial banks.

Q7. _____, also known as search unemployment, occurs when workers lose their current job and are in the process of finding another one.

A. Voluntary unemployment

B. Disguised unemployment

C. Frictional unemployment

D. Classical unemployment

Solution: Frictional unemployment. Voluntary unemployment is a situation when a person is unemployed not due to unavailability of jobs in the economy, but because of not being able to find employment of his or her own choice. Disguised unemployment is unemployment that does not affect aggregate economic output. Classical unemployment, also known as real-wage unemployment, occurs when real

wages, or the cost of employing a worker, are too high.

Q8. Which of these statements is INCORRECT about the Human Development Index?

- A. The level of education is represented in the HDI.
- B. It uses the per capita GDP of a country on purchasing power parity terms to represent the income component.
- C. Birth rate and death rate are important components of the HDI.**
- D. Life expectancy at birth is one of the components of the HDI.

Solution: The Human Development Index (HDI): It is an indicator of social standards which There are 3 parameters of Human Development Index – Education, Health and Income and Human Development. Developed by Mahbub ul-Haq (Pakistani economist) in 1990. As of August. 2023 – India ranks 132 out of 191 countries.

Q9. Which of the following institutions has contributed mainly in improving the economic status of the poor women in rural areas ?

- A. Indira Awas Yojana
- B. Integrated Development Project
- C. Self-help Group**
- D. Rural Health Scheme

Solution: Self-Help Groups are informal associations of people who choose to come together to find ways to improve their living conditions. They help the poor and marginalized by building skills for employment and income generation. SHGs also provide loans without requiring collateral. Indira Awas Yojana: Provides housing subsidies to poor families. Integrated Development Project: A broader rural development initiative. Rural Health Scheme: Focuses on healthcare services.

Q10. Which five-year plan was based on the ideas of Mahalanobis?

- A. Fourth five-year plan
- B. Third five-year plan
- C. First five-year plan
- D. Second five-year plan**

Solution: Second five-year plan (1956-1961) : Goal – Development of the Industrial sector. First five-year plan (1951-1956) : Goal – Development of primary sectors like agriculture. Based on – The Harrod-Domar model. Third five-year plan (1961-1966) : Goal – Strengthen the economy and make it self-reliant (Failed due to drought and wars). Based on – Model presented by D.R. Gadgil. The Five Year Plans formulated by Planning Commission (Replaced with NITI AAYOG in 2015).

Q11. Which of the following statements about the second five-year plan is INCORRECT ?

- A. The plan stressed the rapid industrialisation of heavy and basic industries.
- B. Electricity, Railway, Steel etc. industries were established during the plan.
- C. The plan was based on the Keynesian Model.**
- D. The socialist pattern of the society was reflected in the plan.

Solution: The Second Five-Year Plan (1956-1961) was based on the Mahalanobis model, named after Indian statistician Prasanta Chandra Mahalanobis. The target growth rate was set at 4.5%, while the actual growth achieved was 4.3%.

Q12. For a NBFC– MFI, the maximum variance permitted for individual loans between the minimum and maximum interest rate _____ . SSC CHSL 24th May 2022 (Evening)

- A. cannot exceed 4 per cent**
- B. cannot exceed 2 per cent
- C. cannot be less than 2 per cent
- D. cannot be less than 4 per cent

Solution: For a NBFC– MFI, the maximum variance permitted for individual loans between the minimum and maximum interest rate cannot exceed 4 per cent. NBFCs cannot offer interest rates higher than the ceiling rate prescribed by RBI from time to time. The present ceiling is 12.5 per cent per annum.

Q13. Which of the following is not one of the basic questions every society needs to answer?

- A. How should the goods be distributed?
- B. How should goods be produced?
- C. What goods and services to produce?
- D. How should the goods be exchanged?**

Solution: Goods are items that satisfy human wants and provide utility, for example, to a consumer making a purchase of a satisfying product. Examples – automobiles, appliances, and clothing. Services include a broad range of items including telephone and utility services, legal and financial services, and travel and lodging services. Examples – legal advice, house cleaning, and consulting services.

Q14. Lack of financial discipline by the government can lead to _____ . (A) excess expenditure (B) inflation SSC CHSL 26th May 2022 (Morning)

- A. Only B
- B. Only A
- C. A and B**
- D. Neither A nor B

Solution: Lack of financial discipline by the government can lead to excess expenditure and inflation. Inflation is a decrease in the purchasing power of money, reflected in a general increase in the prices of goods and services in an economy.

Q15. Which of the Five-Year Plans was prepared and launched by DP Dhar?

- A. Sixth Five-Year Plan
- B. Seventh Five-Year Plan
- C. Fourth Five-Year Plan
- D. Fifth Five-Year Plan**

Solution: Fifth Five-Year Plan (1974-1979) – Stressed on increasing employment and poverty alleviation (Garibi Hatao); Indian National Highway System; Minimum Needs Programme. Sixth Five Year Plan (1980-85) – Beginning of economic liberation by eliminating price controls; Family Planning; National Bank for Agriculture and Rural

Development was established (Shivaraman Committee). Seventh Five Year Plan (1985-90) – Improving Industrial productivity levels through the use of technology. Fourth Five-Year Plan (1969-74) – Based on Gadgil Formula (Growth with stability and progress towards self-reliance); Nationalization of 14 major Indian Banks and the Green Revolution boosted agriculture; Drought Prone Area Programme.

Q16. In which year did RBI introduce the regulatory framework for microfinance loans?

- A. 2021
- B. 2022**
- C. 2020
- D. 2019

Solution: 2022. Micro-Finance Loans – These are small collateral-free loans provided to members of Self Help Group, Joint Liability Group and other individuals wherein the credit facility is provided for income generation purposes. RBI (Reserve Bank of India): India's central bank and regulatory body responsible for the regulation of the Indian banking system. Established – 1 April 1935, Headquarters – Mumbai (Maharashtra), Ownership – Ministry of Finance (Government of India).

Q17. What were the main obstacles during the industrial development of India at the time of independence ?

- A. Market for industrial produce
- B. Capital investment in industries**
- C. Employment required for industries
- D. Land for industrial establishment

Solution: Capital investment in industries. At independence, India faced challenges like illiteracy, poverty, low per capita income, industrial backwardness, and unemployment. The government implemented industrial policies that marked a turning point in India's industrial history. By promoting public sector industries, it helped spread industrialization to different regions and generated more employment opportunities.

Q18. Which among the following is correct about Reverse Repo Rate?

- A. Reverse Repo Rate is a state in which the Value of Money is Falling and the Prices are rising, over a period of time.
- B. When bank deposit its excess money in RBI then RBI provides some interest to that bank. This interest is known as Reverse Repo Rate.**
- C. When RBI provides a loan to the bank for short-term between 1 to 90 days, RBI takes some interest from the bank which is termed as Reverse Repo Rate.
- D. When the money is borrowed or lent for more than a day up to 14 days it is called Reverse Repo Rate.

Solution: When a bank deposits its excess money in RBI then RBI provides some interest to that bank. This interest is known as Reverse Repo Rate. Repo Rate (short term loan) – The rate at which the Reserve Bank of India lends money to commercial banks in the event of any shortfall of funds. Bank Rate (long term loan) – It is the rate charged by the RBI for lending funds to commercial banks. Cash Reserve Ratio (CRR) – The commercial banks have to hold a certain minimum amount of deposit as reserves with the central bank. Statutory Liquidity Ratio (SLR) – The minimum

percentage of deposits that a commercial bank has to maintain in the form of liquid cash, gold or other securities.

Q19. _____ is the money which is accepted as a medium of exchange because of the trust between the payer and the payee. SSC CHSL 25th May 2022 (Morning)

- A. Credit money
- B. Fiduciary money**
- C. Fiat money
- D. Full bodied money

Solution: Fiduciary money is the money which is accepted as a medium of exchange because of the trust between the payer and the payee. Credit money refers to a future monetary claim against an individual who has used the credit facility to buy goods and services. Fiat money is a government-issued currency that is not backed by a commodity such as gold. The value of representative full-bodied money is much higher than its value as a commodity.

Q20. Which of the following schemes aims to provide an integrated property validation solution for rural India?

- A. WDF
- B. SVAMITVA**
- C. NRLM
- D. PIDF

Solution: SVAMITVA (Survey of Villages Abadi and Mapping with Improved Technology in Village Areas): Launched on April 24, 2020, which is also celebrated as National Panchayat Day. Aim – To provide an integrated property validation solution for rural India. The Ministry of Panchayati Raj would be the Nodal Ministry for this Scheme. Applicability : During 2020-21 in the pilot States of Haryana, Karnataka, Madhya Pradesh, Maharashtra, Uttar Pradesh, Uttarakhand, Punjab, Rajasthan and Andhra Pradesh in Phase I.

Q21. Which of the following is an example of joint sector industry ?

- A. Bharat Heavy Electricals Limited
- B. Oil India Limited**
- C. Tata Iron and Steel Company
- D. Steel Authority of India Limited

Solution: Oil India Limited (A Maharatna Company). OIL is a state-owned enterprise of the Government of India, under the administrative control of the Ministry of Petroleum and Natural Gas and is the second largest national oil and gas company in India. Joint sector industries are those in which both the private sector and the public sector invest and participate. Example – Maruti Udyog Limited.

Q22. Which five year plan aimed to increase the rapid growth in food grains production?

- A. Seventh Five Year Plan**
- B. Eighth Five Year Plan
- C. Sixth Five Year Plan
- D. Fifth Five Year Plan

Solution: Seventh Five Year Plan (1985-90): It laid stress on improving Industrial productivity levels through the use of technology. Eighth Five Year Plan (1992-97): India accepted globalisation and became a member of the World Trade

Organisation on 1 January 1995. Aim – Modernization of Industries. Sixth Five Year Plan (1980–85): Introduced family planning measures, Established National Bank for Agriculture and Rural Development (NABARD). Fifth Five Year Plan (1974–78): Focus on employment and poverty alleviation (garibi hatao).

Q23. Which of the following is Fisher's equation of exchange ?

- A. $MV = PT$
- B. $MT = VP$
- C. $M = S + I$
- D. $MV = TP$

Solution: $MV = PT$. Fisher Equation states that the nominal interest rate is equal to the sum of the real interest rate plus inflation. It lies at the heart of the Quantity Theory of Money. $MV = PT$, where M = Money Supply, V = Velocity of circulation, P = Price Level, and T = Transactions.

Q24. The proportion of a small increase in income which will lead to increased consumption expenditure is known as _____. SSC CHSL 31st May 2022 (Evening)

- A. marginal consumption efficiency
- B. **marginal propensity to consume**
- C. marginal efficiency of income
- D. marginal propensity to save

Solution: The marginal propensity to consume measures the degree to which a consumer will spend or save in relation to an aggregate raise in pay. The marginal efficiency of capital is the rate of discount which would equate the price of a fixed capital asset with its present discounted value of expected income.

Q25. Which of the following statements is correct regarding the socialist society in the economy? I. The government decides what goods are to be produced. II. Distribution of goods under socialism is supposed to be based on what people need.

- A. Only I
- B. Neither I nor II
- C. **Both I and II**
- D. Only II

Solution: Both I and II. Socialist Economy decides on the products and services manufactured in line with society's requirements. It also have complete control over the factors of production. The main motive for producing goods and services in this economy is social welfare and not profit. Example – China and Russia. In India – Mix Economy.

Q26. Usually, which year of a series of years in an economic index is called the base year? SSC CHSL 24th May 2022 (Afternoon)

- A. **First year**
- B. Twentieth year
- C. Tenth year
- D. Last year

Solution: A base year is the first of a series of years in an economic or financial index. The index value of the base year is conventionally set to equal 100. The present base year for the gross domestic product is 2011–12

Q27. The national poverty line for 2011–12 was estimated at _____ per capita per month for rural areas of India.

- A. ₹ 1,206
- B. ₹ 760
- C. **₹ 816**
- D. ₹ 900

Solution: ₹ 816. For urban areas, it is Rs. 1000 under the Suresh Tendulkar methodology. In 2011–12, the number of poor was 26.92 crore. Poverty line is measured on the basis of the income or consumption levels and if the income or consumption falls below a given minimum level, then the household is said to be Below the Poverty Line (BPL). Committees related to poverty estimation:- Tendulkar Committee, the C Rangarajan Committee.

Q28. What is the change in fiscal deficit if both the primary deficit and interest payments are doubled?

- A. **Increase by 100%**
- B. Increase by 200%
- C. Decrease by 50%
- D. Decrease by 100%

Solution: 100. (a) Increase by 100%. Fiscal deficit – It is calculated by subtracting the total revenue obtained by the government in a fiscal year from the total expenditures that it incurred during the same period. Fiscal Deficit = Total expenditure of the government (Capital and Revenue expenditure) – Total income of the government (Revenue receipts + recovery of loans + other receipts).

Q29. Which Indian financial institution protects investors in a stock market?

- A. Bombay Stock Exchange
- B. Reserve Bank of India
- C. **Securities and Exchange Board of India**
- D. National Stock Exchange

Solution: Securities and Exchange Board of India (SEBI) was constituted as a non-statutory body on April 12, 1988. Chairperson – Ms. Madhabi Puri Buch (as of April 2023). SEBI headquarters – Mumbai. Headquarters of Bombay Stock Exchange (1875), Reserve Bank of India (1935) and National Stock Exchange (1992) – Mumbai

Q30. Identify the INCORRECT statement in the context of Microfinance Institutions in India.

- A. A microfinance loan is given to a household having annual household income up to ₹ 3,00,000.
- B. A microfinance loan is a collateral-free loan.
- C. When giving a micro loan, a household means an individual family unit, i.e., husband, wife, and their unmarried children.
- D. **A microfinance loan should be linked with a lien on the deposit account of the borrower.**

Solution: . Microfinance loans are typically small, unsecured loans that are given to low-income borrowers. They are often used to start or expand a small business, or to meet other basic needs such as education or healthcare. The regulator of Micro Finance in India is the Reserve Bank of India. The different types of Microfinance institutions (MFI) that offer microfinance are: Credit unions, Non-governmental organizations, Commercial banks. List of MFIs : Bandhan Bank

Limited, Ujjivan Small Finance Bank, Annapurna Finance Pvt. Ltd, Muthoot Microfin Limited.

Q31. Usually, the reduction in the taxes will have _____ multiplier effect compared to an increase in government spending on aggregate demand.

- A. no
- B. smaller**
- C. higher
- D. equivalent

Solution: 1 4.(b) Smaller. Aggregate demand is a term used in macroeconomics to describe the total demand for goods produced domestically, including consumer goods, services, and capital goods. Formula :- $AD = C + I + G + (X - M)$, AD = aggregate demand, C = consumption, I = investment, G = government spending, X = total exports, M = total imports.

Q32. The Flexible Inflation Targeting Framework (FITF) was introduced in India post the amendment of the Reserve Bank of India (RBI) Act, 1934 in _____.

- A. 2014
- B. 2010
- C. 2016**
- D. 2020

Solution: 2016. The Reserve Bank of India (RBI) Act, 1934, was amended to provide a statutory basis for the Flexible Inflation Targeting (FIT) framework. FIT is a monetary policy strategy employed by the RBI to maintain inflation within a specified range, allowing for flexibility. This approach enhances stability and transparency in monetary policy decisions.

Q33. Which among the following statements is incorrect?

- A. Industrial Securities Market is also known as gilt-edged market.**
- B. The secondary market is the market for the sale and purchase of previously issued securities.
- C. RBI plays a dominant role in the gilt-edged market through its 'Open Market Operations'.
- D. The primary market is also known as the new issue market.

Solution: Option (a) is incorrect. Gilt-edged market is known as the government securities market. The Industrial Securities Market is divided into two categories - Primary Market and Secondary Market (Stock Exchange). The primary market is also known as the new issue market. The secondary market is the market for the sale and purchase of previously issued securities.

Q34. Identify the true statements among the following.

- A. Income Tax is an Indirect Tax
- B. Goods and Services Tax is a direct tax
- C. Fees and Fines collected is a non-tax receipt**
- D. Borrowings from the public is a revenue receipt

Solution: Goods and Services Tax (GST): On July 1, 2017, GST laws were implemented, replacing a complex web of Central and State taxes. Under the Indian GST, goods and services are categorized into different tax slabs, including 0% (nil-rated), 5%, 12%, 18%, and 28%. The Constitution (101st) Amendment Act, 2016 allows both the center and states to levy the Goods and Services Tax (GST).

Q35. When the government resorts to borrowing only to clear the backlog of interest payments, it is referred to as

_____. **SSC CHSL 25th May 2022 (Evening)**

- A. zero revenue deficit
- B. zero primary deficit**
- C. zero fiscal deficit
- D. excess budget deficit

Solution: When the government resorts to borrowing only to clear the backlog of interest payments, it is referred to as zero primary deficit. A revenue deficit occurs when a business' sales or government revenue isn't enough to cover its basic operations. The fiscal deficit in the economy will be zero if there is no provision for borrowings in the budget. A budget deficit occurs when expenses exceed revenue, and it can indicate the financial health of a country.

Q36. In which five-year plan was the 'food, work, and productivity' slogan used ?

- A. Sixth
- B. Fifth
- C. Fourth
- D. Seventh**

Solution: Seventh Plan (1985-90): It focused on accelerating food grain production, increasing employment opportunities, and raising productivity with an emphasis on "food, work, and productivity." It was quite successful, achieving a 6% growth rate, surpassing the target of 5%, especially during a time when the 1980s were trying to overcome the so-called "Hindu Rate of Growth."

Q37. In the self-help group, the loan and saving decisions are taken by the _____.

- A. group members**
- B. non-government organisation
- C. bank
- D. government

Solution: Group members. Self help groups (SHGs): An informal group of poor people who face difficulty in getting loans from formal banking institutions. The root of SHGs can be traced to the formation of the Self-Employed Women's Association (SEWA-1972). Benefits of SHGs - Financial inclusion, social integrity, hope for marginalized section, self dependent, promotes entrepreneurship among women and gender equity.

Q38. The microfinance movement in India was formally launched on a pilot basis by the _____ in _____.

_____. **SSC CHSL 30th May 2022 (Evening)**

- A. National Bank for Agriculture and Rural Development (NABARD); 1992**
- B. National Bank for Agriculture and Rural Development (NABARD); 1994
- C. Small Industries Development Bank of India (SIDBI); 1994
- D. Small Industries Development Bank of India (SIDBI); 1992

Solution: The microfinance movement in India was formally launched on a pilot basis by the National Bank for Agriculture and Rural Development (NABARD) in 1992. National Bank for Agriculture and Rural Development (NABARD) was established on 12 July 1982 by an Act of the Parliament. Small Industries Development Bank of India (SIDBI) was established on 2nd

April 1990.

Q39. What was the prime target of the first five – year plan of India?

- A. Development of agriculture**
- B. Development of industries
- C. Development of ports
- D. Development of infrastructure

Solution: Development of agriculture. First Five year Plan (1951– 1956): IITs were set up. The target growth rate was 2.1% and the achieved growth rate was 3.6%. It was based on the Harrod Domar Model. Second Five year Plan (1956–1961) : Mahalanobis model was adopted. Aim – Rapid industrialisation. Third Five year Plan (1961–1966) : Aim – establishment of a self-reliant and self-generating economy. Fourth five year Plan (1969–74) : Aim – growth with stability and progressive achievement of self-reliance. During this plan, the government nationalized 14 major Indian Banks and the Green Revolution boosted agriculture.

Q40. Which of the following statements is correct regarding the bank reserves? I. These reserves are kept partly as cash and partly in the form of financial instruments. II. Cash Reserves Ratio are deposits which commercial banks keep with the Reserve Bank of India.

- A. Only II
- B. Both I and II**
- C. Only I
- D. Neither I nor II

Solution: Both I and II . Cash Reserve Ratio (CRR) – Commercial banks to hold a certain minimum amount of deposit as reserves with the central bank. Statutory Liquidity Ratio (SLR) – Minimum percentage of deposits bank has to maintain in the form of liquid cash, gold, or other securities. Bank Rate – Rate at which nation's central bank lends money to banks (very short-term loans).

Q41. Which of the following committees was constituted to study the issues and concerns in the Micro Finance Institution in 2010?

- A. Ghosh Committee
- B. Sivaraman Committee
- C. Malegam Committee**
- D. Khan Committee

Solution: Malegam Committee. The Sub-Committee was under the chairmanship of Y.H. Malegam. Ghosh Committee (1991) – It inquired into the various aspects of frauds and malpractices in the bank and to make recommendations to reduce such instances. Sivaraman Committee (1979) – Recommended the establishment of NABARD. Khan Committee (1997) – Examined the financial system's effectiveness for the small-scale sector and the role of primary dealers.

Q42. The term of trade refers to _____.

- A. the excess of import expenditures over export earnings
- B. the trade agreements
- C. the terms and conditions on which a country is offered loan
- D. the ratio between export prices and import prices**

Solution: The Net Barter terms of trade – Ratio between export prices and import prices. Balance of trade – Difference in value between the country's imports and exports of goods and services over time. Trade deficit – When a country's imports exceed its exports during a given time period.

Q43. From which five-year plan onwards in India, were fiscal and economic reforms including liberalization adopted?

- A. Eighth Five Year Plan**
- B. Seventh Five Year Plan
- C. Sixth Five Year Plan
- D. Ninth Five Year Plan

Solution: 13.(a) Eighth Five-Year Plan (1992–1997) – The focus was shifted from an economy that was originally centrally led to a market-focused structure. Seventh Plan (1985 –1990) – The plan laid stress on improving the productivity level of industries by upgrading technology. Sixth Five-Year Plan (1980 – 1985) – It was mainly focused on economic liberalization through creating technological self-sufficiency and eliminating poverty. Ninth Five-Year Plan (1997 – 2002) – It tried primarily to use the latent and unexplored economic potential of the country to promote economic and social growth.

Q44. Which of the following indicates the correct limit of marginal propensity to consume (MPC) ?

- A. $0 < MPC < 1$**
- B. $0 < MPC < \infty$
- C. $-1 < MPC < 1$
- D. $-1 < MPC < 0$

Solution: $0 < MPC < 1$. Marginal propensity to consume (MPC): Change in consumption with respect to change in income. It measures the proportion of extra income that is spent on consumption, the change in consumption/change in disposable income. Marginal propensity to save (MPS): An economic measure of how savings change, given a change in income. Propensity : – This refers to the percentage of total income or of an increase in income that people save instead of spending on products and services.

Q45. _____ is one of the taxes, where the impact lies on the person for whom it is legally imposed. SSC CHS I 1st June 2022 (Evening)

- A. Direct tax**
- B. Indirect tax
- C. Goods and services tax
- D. Value added tax

Solution: Direct taxes are non-transferable taxes paid by the taxpayer to the government, like Income tax. Indirect taxes are transferable taxes where the liability to pay can be shifted to others like Value Added Tax. According to the 101st Constitutional amendment act, Goods and Services Tax (One Nation– One Market– One Tax") is an indirect tax used in India on the supply of goods and services. Four tax slabs under GST viz. 5 %, 12 %, 18 %, and 28 %.

Q46. Which of the following expressions is correct regarding the gross fiscal deficit?

- A. Gross fiscal deficit = Net borrowing at home – Borrowing from RBI + Borrowing from abroad

B. Gross fiscal deficit = Net borrowing at home + Borrowing from RBI + Borrowing from abroad

C. Gross fiscal deficit = Net borrowing at home + Borrowing from RBI - Borrowing from abroad

D. Gross fiscal deficit = Net borrowing at home - Borrowing from RBI - Borrowing from abroad

Solution: Gross Fiscal Deficit : A macroeconomic indicator that measures the difference between a government's total expenditures and its total revenues (excluding borrowings) during a financial year. Fiscal deficit = Total expenditure - Total receipts (excluding borrowings). The fiscal deficit will have to be financed through borrowing. Thus, it indicates the total borrowing requirements of the government from all sources.

Q47. Which of the following angles of the flow of factor payments forms the basis to estimate the national income? SSC CHSL 30th May 2022 (Afternoon)

- A. Consumption angle
- B. Expenditure angle
- C. Income distribution angle**
- D. Production angle

Solution: The income distribution angle forms the basis to estimate the National income. National income is the sum of all the factor income that is generated during a production year.

Q48. The foreign exchange reserves in India crossed the landmark of _____ in June 2021. SSC CHSL 25th May 2022 (Afternoon)

- A. US\$ 900 trillion
- B. US\$ 600 trillion
- C. US\$ 600 billion**
- D. US\$ 900 billion

Solution: The foreign exchange reserves in India crossed the landmark of US\$ 600 billion in June 2021. Foreign exchange reserves are assets denominated in a foreign currency that are held by a nation's central bank.

Q49. Money supply is a _____ concept.

- A. stock**
- B. measurable
- C. non-measurable
- D. flow

Solution: stock. Money supply, like money demand, is a stock variable. The total stock of money in circulation among the public at a particular point of time is called money supply. RBI publishes figures for four alternative measures of money supply: M1, M2, M3 and M4.

Q50. Which of the following combinations of 'RBI Tool - Monetary instrument' is correct?

- A. Qualitative - Moral Suasion**
- B. Quantitative - Marginal requirement
- C. Qualitative - Cash Reserve ratio
- D. Qualitative - Open Market Operations

Solution: 8(a) Qualitative - Moral Suasion . The tools used by the Central bank to control money supply can be quantitative (control the extent of money supply by changing the CRR, or

bank rate or open market operations) or qualitative (include persuasion by the Central bank in order to make commercial banks discourage or encourage lending which is done through moral suasion, margin requirement, etc).

Q51. In which year was the Twenty Point Programme (TPP) launched?

- A. 2006
- B. 1975**
- C. 1986
- D. 1982

Solution: 1975. Twenty Point Programme (TPP): The programme was first revised in 1982 and again in 1986. TPP - 1986 restructured in 2006 to align with economic reforms, liberalisation, and globalisation. It is a package of government programs, with the aim of improving the quality of life in rural areas. The Programme covers various socio-economic aspects like poverty, employment, education, agriculture, land reform, protection and empowerment of weaker sections, consumer protection, environment, eGovernance, etc.

Q52. Which of the following documents provides a framework, rules and regulations for setting up public and private industries in India ?

- A. Industrial policy**
- B. Annual report of the trade union
- C. Company's financial statement
- D. Union Budget

Solution: Industrial policy. It outlines the government's goals and priorities for industrial development, providing guidelines for industrial licensing, foreign investment, technology transfer, and other key aspects. It also defines the roles of both the public and private sectors in this development.

Q53. What correctly defines change of inventories of a firm during a year ?

- A. Production of the firm during the year - Sale of the firm during the year**
- B. Production of the firm during the previous year - Sale of the firm during the year
- C. Sale of the firm during the year - Production of the firm during the year
- D. Production of the firm during the year - Sale of the firm during the previous year

Solution: The change in inventories of a firm during a year represents the difference between the goods produced or purchased and the goods sold. It can be calculated as: Change in Inventories = Ending Inventory - Beginning Inventory (Or) Change in Inventories = Production during the year - Sales during the year.

Q54. Due to which of the following reasons can money be differentiated from other physical assets that can perform the function of store of value?

- A. Money has common acceptability.
- B. Money possesses liquidity.
- C. Money is neutral.
- D. Money is easy to store.**

Solution: Money is easy to store. Three main functions of money: Primary function - Money is used as a medium of

exchange and it is the measure of value. Secondary function – It is the standard of deferred payments, the transfer, and the store of value. Contingent function – The distribution of national income, maximum profit to the producers, and maximum satisfaction to the consumers, basis of credit and liquidity.

Q55. The National Payments Corporation of India was set up under the provisions of which act?

- A. The SARFAESI Act, 2002
- B. Payment and Settlement Systems Act, 2007**
- C. Government Securities Act, 2006
- D. Companies Act, 2013

Solution: Payment and Settlement Systems Act, 2007 : It is an Act to provide for the regulation and supervision of payment systems in India and to designate the Reserve Bank of India as the authority for that purpose and for matters connected therewith or incidental thereto. This organisation was founded in the year 2008 under this Act of 2007.

Q56. Harrod Domar model was the main idea behind the _____ Five Year Plan.

- A. Third
- B. First**
- C. Second
- D. Fourth

Solution: First Five-Year Plan (1951–1956) aimed for a growth rate of 2.1% but achieved 3.6%. It focused on agriculture, investing in dams and irrigation, with significant funds allocated for the Bhakra Nangal Dam. The Second Five-Year Plan (1956–1961) focused on fast industrialization and emphasized the role of the public sector. It was developed under the leadership of P.C. Mahalanobis. Third Five Year Plan (1961–66) aimed to establish India as a self-reliant and self-generating economy.

Q57. Which of the following has been designated as the self-regulatory organization for Micro finance institutions in India? SSC CHSL 1st June 2022 (Afternoon)

- A. Jan-Dhan
- B. Sab-Dhan
- C. Dhan
- D. Sa-Dhan**

Solution: Sa-Dhan (Association of Community Development Finance Institutions) is designated as the self-regulatory organization for Microfinance institutions in India. Micro Finance Institution is an organization that offers financial services to low-income populations. These services include microloans, micro savings, and microinsurance.

Q58. The rate at which RBI lends to commercial banks for the short term is called _____. SSC CHSL 26th May 2022 (Evening)

- A. repo rate**
- B. reverse repo rate
- C. bank rate
- D. cash reserve rate

Solution: The rate at which RBI lends to commercial banks for the short term is called Repo Rate. Reverse repo rate is the

rate at which the central bank of a country (Reserve Bank of India in case of India) borrows money from commercial banks within the country. The bank rate is the rate of interest which is charged by a central bank while lending loans to a commercial bank. The percentage of cash required to be kept in reserves as against the bank's total deposits, is called the Cash Reserve Ratio.

Q59. GDP that takes into account the costs in terms of environmental pollution and exploitation of natural resources is called _____. SSC CHSL 27th May 2022 (Evening)

- A. white GDP
- B. green GDP**
- C. brown GDP
- D. blue GDP

Solution: The Green Gross Domestic Product is an indicator of economic growth with environmental factors taken into consideration along with the standard GDP of a country. This concept was introduced by China by publishing its first green GDP data for the year 2004 in 2006. The blue economy is the "sustainable use of ocean resources for economic growth, improved livelihoods, and jobs while preserving the health of the ocean ecosystem."

Q60. 15. Which of these is NOT an NGO involved in microfinance related activities?

- A. MYRADA in Bangalore
- B. NABARD in Mumbai**
- C. SEWA in Ahmedabad
- D. ADITHI in Patna

Solution: NABARD (National Bank For Agriculture And Rural Development) in Mumbai. Established – 1982; Headquarters – Mumbai; Regulatory body for overall regulation of regional rural banks and apex cooperative banks, Credit Planning and Agriculture Development; Under the Ministry of Finance. MYRADA (Mysore Resettlement and Development Agency, Bangalore), SEWA (Self Employed Women's Association, Ahmedabad) and ADITHI are NGOs (Non Government organization) involved in welfare activities.

Q61. In any economy, the income velocity of the hoarded money (idle) by the public is equal to _____

- A. one
- B. greater than one
- C. zero**
- D. greater than zero

Solution: 11.(c) Zero. The velocity of money – It measures the number of times that the average unit of currency is used to purchase goods and services within a given time period. Formula (The velocity of money) : $V = PQ / M$. Where, V = Velocity of Money, PQ = Represents the GDP (Nominal Gross Domestic Product), M = Money Supply. Hoarded money – It is not used to purchase goods and services, so the income velocity of hoarded money is zero.

Q62. _____ is the provision of small credit to those who would have no other access to financial services.

- A. Microloan
- B. Microfinance**
- C. Homeloan

D. Pradhan Mantri Awas Yojana

Solution: Microfinance. Microfinance institutions (MFIs) provide financial services, such as microloans, microsavings, and microinsurance, to low-income populations. The definition of "small loans" varies by country. In India, loans below Rs. 1 lakh are considered microloans. Examples of MFIs: Equitas Small Finance, Fusion Microfinance Pvt Ltd, Annapurna Microfinance Pvt Ltd.

Q63. When was the Direct Tax Code Bill introduced in the Parliament of India?

- A. 2010
- B. 2005
- C. 2020
- D. 2015

Solution: 2010. Direct tax : It is directly paid to the authority imposing the tax. Example - Income tax, real property tax, personal property tax, and taxes on assets. Indirect tax: It is the tax levied on the consumption of goods and services. Example - Value Added Tax (VAT) or Goods and Services Tax (GST) , Excise duty, Customs duty, Sales tax.

Q64. Identify the FALSE statement in the context of money supply. SSC CHSL 1st June 2022 (Morning)

- A. Total stock of money alone in an economy determines the overall liquidity in the economy .
- B. Commercial banks use primary deposits to create credit.
- C. The money held by the government is not included in the measure of money supply.
- D. Credit money refers to money whose money value is more than commodity value.

Solution: Option a is False. The money supply is the entire stock of currency and other liquid instruments in a country's economy as of a particular time. There are three measures of money supply M1, M2, and M3. M1 is known as narrow money as it includes only 100% liquid deposits which is a very narrow definition of the money supply. M2 includes M1 and only saving account deposits with Post offices. M3 is called Broad money as along with liquid deposits it also includes time deposits thus making it a broad classification of Money.

Q65. In which Five-Year Plan was the Jawahar Rozgar Yojana started?

- A. Seventh
- B. Fourth
- C. Sixth
- D. Fifth

Solution: Seventh (1985-1990):- Jawahar Rozgar Yojana - Launched on April 1, 1989. Aim - To provide additional employment in rural areas. Other schemes related to employment: Minimum Needs Programme - It was introduced in the first year of the Fifth Five Year Plan (1974 - 78) to provide certain basic minimum needs and improve the living standards of people. It was prepared by D.P. Dhar. Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) - It is one of the largest work guarantee programmes in the world launched in 2005 by the Ministry of Rural development.

Q66. Which of these is not the reason why 'final' goods are called so?

A. They are meant for final use.

B. They are the last to be consumed.

C. They will not pass through any more stages of production.

D. They are not processed or transformed further.

Solution: Final Goods - An item that is meant for final use and will not pass through any more stages of production or transformations. Types of final goods: consumption goods and capital goods. Examples: television, milk, ready-to-eat foods, medicines. Intermediate goods - Raw materials that a firm buys from another firm which are completely used up in the process of production. Examples: wheat, soil, crude oil, steel etc.

Q67. _____ demand for money arises mainly due to the uncertainty of future receipts and expenses. SSC CHSL 26th May 2022 (Afternoon)

- A. Transactions
- B. Generic
- C. Speculative
- D. Precautionary**

Solution: Precautionary demand for money arises mainly due to the uncertainty of future receipts and expenses. The amount of money required for current transactions of companies and individuals is known as transaction demand for money. Speculative demand arises from the perception that money is optimally part of a portfolio of assets being held as investments.

Q68. $NDP \text{ at FC} = GDP \text{ at FC} \text{ minus } \underline{\hspace{2cm}}$ SSC CHSL 30th May 2022 (Morning)

- A. depreciation**
- B. indirect taxes
- C. net factor income from abroad
- D. subsidies

Solution: Net Domestic Product at factor cost (NDP at FC) is the income earned by the factors in the form of wages, profits, rent, interest etc. $NDP \text{ (Net Domestic Product) at FC (Factor Cost)} = GDP \text{ (Gross Domestic product) at FC minus Depreciation}$. The Gross Domestic Product (GDP) is a measure of a country's economic health. Depreciation describes the devaluation of fixed capital through wear and tear associated with its use in productive activities.

Q69. The country can improve its balance of payments by devaluation when the sum of elasticity of demand for exports and imports is _____.

- A. less than unity
- B. equal to unity
- C. greater than unity**
- D. zero

Solution: Greater than unity . It is called the Marshall-Lerner condition in economics. A country that devalues its currency can reduce its deficit because of the greater demand for its less expensive exports. If the domestic currency devalues, imports become more expensive, and exports become cheaper due to the change in relative prices.

Q70. Which of the following is NOT one of the scheduled public sector banks in India?

- A. Canara Bank

- B. UCO Bank
C. Indian Overseas Bank

D. Bandhan Bank

Solution: Bandhan Bank . The 12 public sector banks are – State Bank of India, Punjab National Bank, Bank of Baroda, Bank of India, Central Bank of India, Canara Bank, Union Bank of India, Indian Overseas Bank, Punjab and Sind Bank, Indian Bank, UCO Bank, and Bank of Maharashtra.

Q71. The Industrial Policy Resolution of 1956 formed the basis of the _____.

- A. Fifth Five Year plan
B. Second Five Year plan
C. Fourth Five Year plan
D. Third Five Year plan

Solution: Second Five Year plan . Industrial Resolution Policy 1956 – Based upon the Mahalanobis Model of growth. It increased the participation of the public sector in the Indian economy. The Planning Commission was replaced by NITI (National Institution for Transforming India) Aayog in 2015. NITI Aayog Chairman – Prime Minister. CEO – B.V.R. Subrahmanyam. Vice Chairman – Suman Bery (as of April 2023).

Q72. Banks issue KCC to support credit in agriculture. KCC stands for _____. SSC CHSL 31st May 2022 (Morning)

- A. Kisan Credit Certificate
B. Krishi Credit Card
C. Krishi Credit Certificate
D. Kisan Credit Card

Solution: Kisan Credit Card: Launched in 1998; Model Scheme- National Bank for Agriculture and Rural Development on the recommendations of the R. V. Gupta Committee; Implemented by Commercial Banks, RRBs, Small Finance Banks, and Cooperatives.

Q73. When was the Rashtriya Swasthya Bima Yojana introduced to provide health insurance to people below the poverty line ?

- A. 2017
B. 2009
C. 2014
D. 2008

Solution: 2008. Rashtriya Swasthya Bima Yojana (RSBY) has been launched by the Ministry of Labour and Employment. Objective: To provide protection to BPL households from financial liabilities arising out of health shocks that involve hospitalization. Other related schemes in India aimed at improving healthcare access: Ayushman Bharat Pradhan Mantri Jan Arogya Yojana (2018), and National Rural Health mission (2005).

Q74. Which of the following is a component of the SHG-bank linkage program in India?

- A. Microfinance institutions providing loans directly to SHGs
B. Banks providing loans to individual members of SHGs
C. Non-governmental organisations providing capacity building training to SHGs
D. State government providing subsidies to SHGs for credit

Solution: Self-Help Groups (SHGs) in India began in the late 1980s as a poverty alleviation initiative by NGOs and development agencies. The SHG-Bank Linkage Model involves banks (Commercial, Rural, and Cooperative) directly lending to SHGs, which manage and guarantee loans for members. MFI – Bank Linkage Model: This model covers financing of Micro Finance Institutions (MFIs) by banking agencies for on-lending to SHGs and other small borrowers.

Q75. Which of the following may be called as fiscal deficit? SSC CHSL 24th May 2022 (Morning)

- A. Revenue expenditure – Revenue receipts
B. Capital expenditure – Capital receipts
C. Total expenditure – Total receipts other than borrowings
D. Revenue expenditure + Capital expenditure – Revenue receipts

Solution: Total expenditure – Total receipts other than borrowings is equal to Fiscal deficit . Revenue expenditure – Revenue receipts = Revenue Deficit. Capital receipts are loans taken by the government from the public, borrowings from foreign countries and institutes, and borrowings from the RBI. Capital expenditure is the money spent by the government on the development of machinery, equipment, building, health facilities, education, etc.

Q76. Which of the following is the best estimate of the total borrowings by the government?

- A. Primary Deficit
B. Revenue Receipts
C. Money Supply
D. Fiscal Deficit

Solution: Fiscal Deficit: It is the difference between the government's total expenditure and its total receipts excluding borrowing. Gross fiscal deficit = Total expenditure – (Revenue receipts + Non – debt creating capital receipts). Primary deficit = Fiscal deficit – Interest payment. Revenue Receipts: Money earned by a business through its day to day operational activities. These are recurring in nature and directly affects the profit and loss of the business. Money supply – The total amount of money (currency + deposit money) present in an economy at a particular point in time.

Q77. The central bank may _____ to discourage credit in the economy.

- A. decrease CRR
B. buy securities in open market
C. reduce SLR
D. increase bank rate

Solution: Increase bank rate. Bank rate – rate at which the Reserve Bank of India (RBI) lends money to commercial banks without any security or collateral. The Cash Reserve Ratio (CRR) – the minimum percentage of total deposits that commercial banks are required to retain as cash reserves with the RBI. Statutory Liquidity Ratio (SLR) – minimum percentage of a bank's NDTL (Net Demand and Time Liabilities) that must be maintained in the form of specified liquid cash, gold or other securities.

Q78. SLR is an important tool used by the RBI to control money supply in the economy. The full form of SLR is _____ . SSC CHSL 27th May 2022

(Afternoon)

- A. Statutory Liquidity Reserve
- B. Stipulated Liquidity Reserve
- C. Statutory Liquidity Ratio**
- D. Stipulated Liquidity Ratio

Solution: Statutory Liquidity Ratio (SLR) is a minimum percentage of deposits that a commercial bank has to maintain in the form of liquid cash, gold or other securities. Its objective is to maintain liquidity in financial institutions operating in the country. Current SLR- 18% (June 2022).

Q79. Payment of loan by the government is an example of _____. **SSC CHSL 31st May 2022 (Afternoon)**

- A. revenue expenditure
- B. revenue receipts
- C. capital receipts
- D. capital expenditure**

Solution: Payment of loan by the government is an example of capital expenditure. Capital expenditure is the money spent by the government on the development of machinery, equipment, building, health facilities, education, etc. Revenue

expenditures are short-term expenses used in the current period or typically within one year. Revenue receipts can be defined as those receipts which neither create any liability nor cause any reduction in the assets of the government. Capital receipts are receipts that create liabilities or reduce financial assets.

Q80. The value added of a firm is calculated as _____.

- A. value of production of the firm - value of intermediate goods used by the firm**
- B. value of production of the firm + value of capital goods used by the firm
- C. value of production of the firm ÷ value of intermediate goods used by the firm
- D. value of production of the firm + value of intermediate goods used by the firm

Solution: Value of production of the firm - value of intermediate goods used by the firm . Value added includes wages, salaries, interest, depreciation, rent, taxes and profit. The value-added methods for calculating national income are Product Method, Inventory Method, Net Output Method, Industry Origin Method, and Commodity Service Method.